

July 20, 2026 07:26 PM GMT

Cross-Asset Spotlight | Global

Geopolitical and Semis Repricing

Signals, Flows, & Key Data: A weekly summary of key cross-asset monitors, data, moves, and models tracking sentiment, fund flows, and positioning. Last week, Brent rose 16%, GBP/USD reached 1.35, and UST 2Y yields fell to 4.18%.

Key highlights from last week:

- S&P 500 fell 1.6% while its equal-weighted counterpart fell 0.4%. Our US equity strategists highlight that their [broadening thesis continues to play out, with the hyperscalers vs semis leadership change likely to persist](#).
- GBP/USD reached 1.35. Our G10 FX strategists are [bearish GBP as they think the market has priced in the "good news" from the potential for a more fiscally conservative Chancellor than initial market expectations, but the bar for upside surprises has risen](#).
- UST 2Y yields fell to 4.18%. Our US rates strategists point to the [June core CPI release being below consensus as the catalyst for a repricing of the Fed's July meeting decisions](#).
- Brent rose 16%. Our commodities strategists highlight that [refined products have captured more of the price strength than crude, much like the case throughout the Hormuz crisis](#).

The 2026 Extel Global Fixed Income Poll is closing this week and your support matters a great deal to us. If you have found our research and data helpful, we'd really appreciate you giving us 5 stars for our team in the categories below. Please [click here](#) to request your ballot.

- Cross-Asset Strategy – Global, US, Europe, Asia
- Fixed Income Strategy – Global, US, Europe, Asia

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Recent Research:

[Cross-Asset Conversations: The Case for European Earnings | Ep. 150 \(17 Jul 2026\)](#)
[Cross-Asset Playbook: Climbing the Wall of Worry \(16 Jul 2026\)](#)
[Cross-Asset Strategy: Global In the Flow – June Recap \(1 Jul 2026\)](#)
[Cross-Asset Brief: Does the Hawkish-Sounding FOMC Meeting Mean the Fed Will Hike Soon? Key Debates in Under 5 Minutes – June 2026 \(30 Jun 2026\)](#)

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

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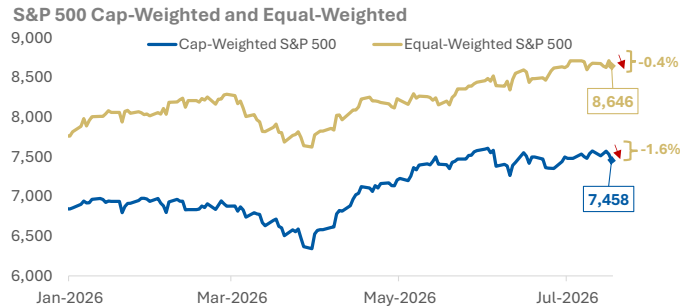
Exhibit 1: Morgan Stanley forecasts

	As of Jul 17, 2026	Q2 2027 Forecast			Q2 2027 Return Forecast			Volatility	Base Case Return/Risk
		Bear	Base	Bull	Bear	Base	Bull		
Equities									
S&P 500	7,458	5,900	8,300	9,400	-19.8%	12.4%	27.1%	18%	0.68
MSCI Europe	2,547	1,820	2,810	3,080	-25.7%	13.2%	23.8%	15%	0.90
Topix	3,919	2,600	4,300	4,900	-31.6%	11.7%	27.0%	18%	0.64
MSCI EM	1,621	1,100	1,800	2,100	-30.1%	13.1%	31.6%	17%	0.79
FX									
JPY*	162	163	156	145	-3.9%	1.0%	9.1%	9%	0.11
EUR	1.14	1.00	1.16	1.30	-14.0%	0.0%	12.3%	7%	0.00
GBP	1.35	1.20	1.34	1.45	-10.6%	-0.2%	7.9%	9%	-0.03
AUD	0.70	0.68	0.73	0.76	-2.1%	5.1%	9.4%	10%	0.52
INR*	96.3	92.0	95.0	100.0	7.9%	4.0%	-0.8%	5%	0.84
ZAR*	16.5	15.0	16.3	18.7	13.2%	4.3%	-8.6%	15%	0.29
BRL*	5.11	4.40	4.90	5.40	24.4%	12.6%	2.9%	15%	0.84
MXN*	17.5	16.5	17.2	19.5	9.2%	4.8%	-7.1%	12%	0.39
Rates (% percent)									
UST 10yr	4.55	5.10	4.20	3.55	0.3%	7.5%	13.0%	7%	1.13
DBR 10yr	3.12	3.05	2.45	2.40	4.1%	9.0%	9.5%	6%	1.57
UKT 10yr	4.95	4.65	4.40	4.20	7.4%	9.5%	11.2%	7%	1.45
JGB 10yr	2.69	3.10	2.25	1.40	0.1%	7.1%	14.4%	3%	2.76
Credit (bps)									
US IG	77	125	90	70	-2.0%	-0.1%	1.2%	3%	-0.03
US HY	268	425	275	230	-3.3%	1.8%	3.7%	5%	0.33
EUR IG	77	150	80	60	-2.5%	0.6%	1.5%	2%	0.34
EUR HY	261	500	300	225	-5.8%	0.5%	3.0%	4%	0.11
EM \$ Sov	240	400	260	210	-7.8%	1.1%	4.2%	7%	0.15
Sec. Products (bps)									
US Agency MBS	27	40	20	15	-0.6%	0.6%	0.9%	2%	0.35
US CMBS AAA	76	110	75	60	-2.6%	0.8%	2.3%	2%	0.53
US CMBS BBB-	460	750	470	390	-24.3%	3.4%	11.3%	3%	0.99
Commodities									
Brent	88	60	75	120	-23.1%	-3.9%	53.7%	39%	-0.10
Copper	13,501	10,670	13,000	16,248	-21.0%	-3.8%	20.3%	21%	-0.18
Gold	4,017	3,920	4,900	6,125	-6.0%	17.5%	46.9%	16%	1.09

Source: Bloomberg, MSCI, Morgan Stanley Research forecasts; Note: Returns are total returns, except for credit, where we forecast excess returns vs government bonds. Commodity returns are calculated relative to futures to account for carry. Volatility is 10y realized vol. All currency returns are shown as XXXUSD return. *Currency forecasts shown for USDXXX.

Charts You Can't Miss

Exhibit 2: S&P 500 fell 1.6%, while its equal-weighted counterpart fell 0.4%



Source: Bloomberg, Morgan Stanley Research

Exhibit 3: GBP/USD reached 1.35



Source: Bloomberg, Morgan Stanley Research

Exhibit 4: UST 2Y yields fell to 4.18%



Source: Bloomberg, Morgan Stanley Research

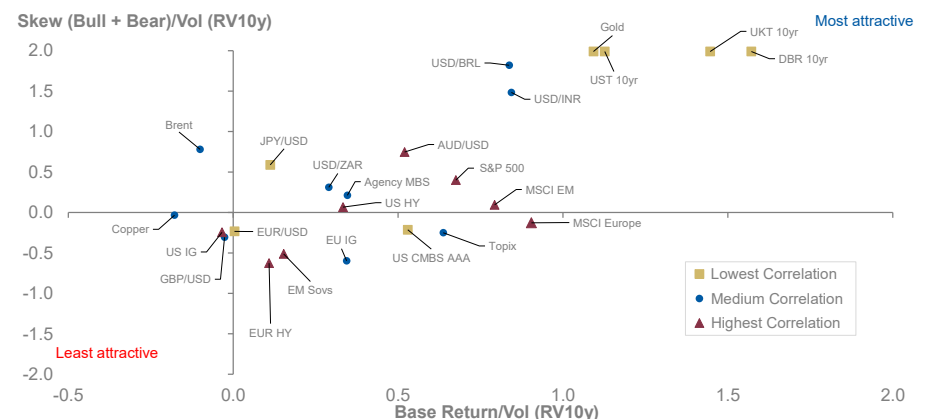
Exhibit 5: Brent rose 16%



Source: Bloomberg, Morgan Stanley Research

Exhibit 6:

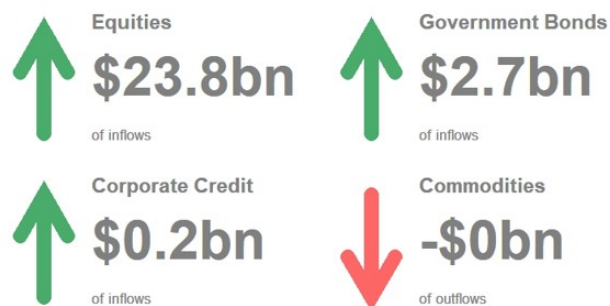
Global asset classes – expected 2Q27 return vs. risk



Source: Bloomberg, MSCI, Morgan Stanley Research forecasts; Note: "Expected returns" based on Morgan Stanley strategy 2Q27 forecasts. Correlation is 10y relative to global equities (MSCI ACWI). Returns are total returns, except for credit, where we forecast excess returns versus government bonds. Commodity returns are calculated relative to futures to account for carry. All currency returns are shown as XXXUSD return. Volatility is 10y realised vol.

Cross-Asset ETF Flows

Exhibit 7: Weekly US ETF flows



Flows for week ending Fri 17 July 2026

Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from US ETFs to both domestic and international equities.

We track daily fund flows across ~5,000 ETFs globally, covering ~US \$7 trillion of assets. For more on the full set of data we cover, see [here](#).

The new monitor provides a gauge of demand across assets and regions, allowing us to better analyze cross-asset sentiment and positioning.

Exhibit 8: US ETF fund flows summary

US ETF Fund Flows													
Name	Assets (US\$ bn)	Short Interest		Trailing 1W		Trailing 3M		Trailing 12M		5Y Zscore			3M Flow
		Latest	1M Chg	Flow (US\$ mln)	1W %	Flow (US\$ bn)	3M %	Flow (US\$bn)	12M %	1W	3M	12M	
EQUITIES	11,213	2.6%	↓	23,838	0.2%	288.5	2.7%	874.7	10.3%	0.3	0.8	0.3	
US	8,971	2.9%	↓	20,318	0.2%	245.9	3.0%	635.0	9.3%	0.3	0.9	0.0	
International	2,242	1.6%	↓	3,519	0.2%	42.6	1.9%	239.7	14.9%	0.1	0.0	0.9	
Global	1,954	1.7%	↓	200	0.0%	41.5	2.1%	211.8	15.2%	-0.9	0.1	1.0	
Europe	88	2.0%	↓	328	0.4%	0.0	-0.0%	1.0	1.4%	0.4	-0.1	-0.3	
Japan	52	0.8%	↑	48	0.1%	2.0	4.1%	8.0	22.8%	-0.1	0.3	0.9	
APxJ	99	6.5%	↑	2,697	2.7%	-0.7	-0.7%	4.4	5.7%	2.5	-0.5	-0.3	
EM	505	2.9%	↑	4,079	0.8%	2.2	0.4%	48.1	13.5%	1.7	-0.6	0.9	
FIXED INCOME	2,154	2.2%	↓	6,259	0.3%	119.0	5.8%	351.9	19.8%	0.1	2.1	2.2	
US FI	1,845	2.5%	↓	4,841	0.3%	97.0	5.5%	290.5	18.9%	-0.1	1.7	2.3	
US Agg	485	0.5%	↓	1,239	0.3%	23.5	5.0%	70.2	17.2%	0.0	1.2	0.5	
US Govt	538	3.3%	↑	2,731	0.5%	27.0	5.2%	104.3	24.4%	0.0	-0.3	-0.3	
US MBS	76	0.5%	↓	39	0.1%	2.3	3.1%	4.2	5.9%	-0.2	0.2	-0.7	
US IG	336	3.0%	↓	28	0.0%	18.0	5.6%	53.7	19.0%	-0.3	1.4	2.8	
US HY	115	14.3%	↓	160	0.1%	6.9	6.4%	8.1	7.5%	0.0	0.5	-0.1	
Munis	169	0.5%	↓	351	0.2%	10.3	6.5%	29.7	22.3%	-0.2	0.6	0.3	
EM Credit	25	7.0%	↓	306	1.2%	0.8	3.4%	0.2	1.1%	0.8	0.5	-0.2	
EM Local	8	0.4%	↓	4	0.1%	-0.1	-1.4%	2.1	35.1%	-0.1	-0.6	1.1	
COMMODITIES	289	2.6%	↑	-35	-0.0%	-11.3	-3.1%	20.2	9.4%	0.0	-0.8	0.6	
Energy	5	4.7%	↓	48	1.2%	0.2	4.8%	0.7	30.6%	0.3	0.6	1.9	
Gold	264	2.6%	↑	-189	-0.1%	-11.7	-3.4%	17.5	8.9%	-0.1	-0.9	0.5	
ESG	120	0.5%	↓	91	0.1%	4.3	3.8%	11.9	13.2%	0.1	0.9	0.2	
ESG Equity	109	0.4%	↓	64	0.1%	3.7	3.6%	10.1	12.4%	0.1	0.9	0.2	
ESG FI	10	0.7%	↓	27	0.3%	0.6	6.1%	1.8	21.1%	-0.2	0.3	-0.3	

Note:

Data as of Fri 17 July 2026

Totals show assets and flows for unlevered funds only. Categories not exhaustive.

Short interest <10th percentile are highlighted in green, >90th percentile are in red.

'T3M Flow' shows rolling 3M net flows over the last 12 months.

Source: Bloomberg, Morgan Stanley Research

Exhibit 9: US fixed income ETF flows summary

US ETF Fund Flows - Fixed Income													
Name	Assets (US\$ bn)	Short Interest		Trailing 1W		Trailing 3M		Trailing 12M		5Y Zscore			3M Flow
		Latest	1M Chg	Flow (US\$ mln)	1W %	Flow (US\$ bn)	3M %	Flow (US\$bn)	12M %	1W	3M	12M	
Domestic	1,845	2.5%	↓	4,841	0.3%	97.0	5.5%	290.5	18.9%	-0.1	1.7	2.3	
Agg	485	0.5%	↓	1,239	0.3%	23.5	5.0%	70.2	17.2%	0.0	1.2	0.5	
Government	538	3.3%	↑	2,731	0.5%	27.0	5.2%	104.3	24.4%	0.0	-0.3	-0.3	
Ultra Short	199	1.1%	↑	1,423	0.7%	16.1	8.8%	51.9	35.8%	0.0	-0.1	-0.2	
Short-Term	78	5.5%	↑	66	0.1%	1.9	2.4%	11.0	16.6%	-0.1	-0.1	0.3	
Intermediate	180	1.5%	↑	727	0.4%	7.3	4.1%	44.5	33.8%	-0.1	-0.5	0.4	
Long-Term	80	10.9%	↑	515	0.6%	1.8	2.2%	-3.1	-3.7%	0.0	-0.7	-1.2	
Inflation Protected	77	2.2%	↓	400	0.5%	5.9	8.1%	13.8	21.7%	0.7	1.2	0.6	
MBS	76	0.5%	↓	39	0.1%	2.3	3.1%	4.2	5.9%	-0.2	0.2	-0.7	
Municipals	169	0.5%	↓	351	0.2%	10.3	6.5%	29.7	22.3%	-0.2	0.6	0.3	
Corporate	451	5.4%	↓	188	0.0%	24.9	5.8%	61.7	15.8%	-0.2	1.2	1.4	
IG	336	3.0%	↓	28	0.0%	18.0	5.6%	53.7	19.0%	-0.3	1.4	2.8	
HY	115	14.3%	↓	160	0.1%	6.9	6.4%	8.1	7.5%	0.0	0.5	-0.1	
International	309	0.8%	↓	1,418	0.5%	22.0	7.6%	61.4	25.1%	0.4	1.9	0.9	
Glb Agg	242	0.1%	↓	936	0.4%	18.3	8.1%	51.0	26.8%	0.2	2.1	0.9	
Glb Corp	28	0.1%	↓	4	0.0%	2.7	10.7%	7.2	34.9%	-0.4	0.3	-0.4	
EM	25	7.0%	↓	306	1.2%	0.8	3.4%	0.2	1.1%	0.8	0.5	-0.2	
EM Local	8	0.4%	↓	4	0.1%	-0.1	-1.4%	2.1	35.1%	-0.1	-0.6	1.1	

Note:

Data as of Fri 17 July 2026

Totals show assets and flows for unlevered funds only. Categories not exhaustive.

Short interest <10th percentile are highlighted in green, >90th percentile are in red.

'T3M Flow' shows rolling 3M net flows over the last 12 months.

Source: Bloomberg, Morgan Stanley Research

Exhibit 10: EU ETF fund flows summary

European ETF Fund Flows											
Name	Assets (US\$ bn)	Trailing 1W		Trailing 3M		Trailing 12M		5Y Zscore			T3M Flow
		1W Flow (US\$ mln)	1W %	3M Flow (US\$ mln)	3M %	12M Flow (US\$ mln)	12M %	1W	3M	12M	
EQUITIES	2,480	6,010	0.2%	43,757	1.9%	141,665	7.7%	0.9	0.4	0	
Europe	495	515	0.1%	-3,466	-0.7%	24,039	6.0%	0.2	-0.7	0.4	
International	1,985	5,495	0.3%	47,224	2.6%	117,626	8.1%	0.9	0.9	-0.2	
Global	942	3,168	0.3%	25,406	2.9%	76,411	11.7%	0.8	0.5	-0.2	
US	854	1,684	0.2%	17,489	2.2%	24,578	3.7%	0.5	0.7	-0.5	
Japan	65	405	0.6%	3,483	5.8%	5,912	13.5%	1.2	2.3	1.4	
APxJ	79	145	0.2%	383	0.5%	6,546	11.1%	0	-0.6	0.1	
EM	230	1,259	0.5%	2,712	1.2%	26,672	18.0%	1	-0.5	1	
FIXED INCOME	566	976	0.2%	8,752	1.6%	17,294	3.4%	0.4	0.4	-0.8	
EU FI	256	487	0.2%	5,266	2.1%	10,571	4.4%	0	-0.2	-1.1	
EU Agg	9	58	0.6%	84	0.9%	771	8.8%	0.5	-0.4	-0.2	
EU Govt	93	415	0.4%	1,960	2.1%	1,832	2.0%	0.5	-0.3	-1.3	
EU IG	108	-185	-0.2%	1,244	1.1%	1,032	1.0%	-0.5	-0.2	-0.7	
EU HY	14	-120	-0.9%	873	6.5%	1,661	13.5%	-0.6	0.7	0.7	
EM Credit	25	16	0.1%	358	1.5%	1,015	4.9%	0.1	0.6	1.5	
EM Local	11	80	0.8%	38	0.4%	1,443	16.7%	0.6	0.2	0.9	
COMMODITIES	209	548	0.3%	-4,660	-1.9%	-1,165	-0.7%	0.7	-0.4	0.3	
Energy	3	23	0.8%	74	2.7%	130	8.7%	0.2	0.2	0.6	
Gold	178	461	0.3%	-5,033	-2.3%	-4,766	-3.3%	0.7	-0.5	-0.1	
ESG	360	-42	-0.0%	92	0.0%	-12,800	-4.0%	-0.4	-0.6	-0.9	
ESG Equity	296	-36	-0.0%	-623	-0.2%	-7,305	-2.9%	-0.3	-0.6	-0.8	
ESG FI	65	-6	-0.0%	715	1.1%	-5,495	-8.1%	-0.2	-0.2	-1.2	

Note:

Data as of Fri 17 July 2026

Totals show assets and flows for unlevered funds only. Categories not exhaustive.

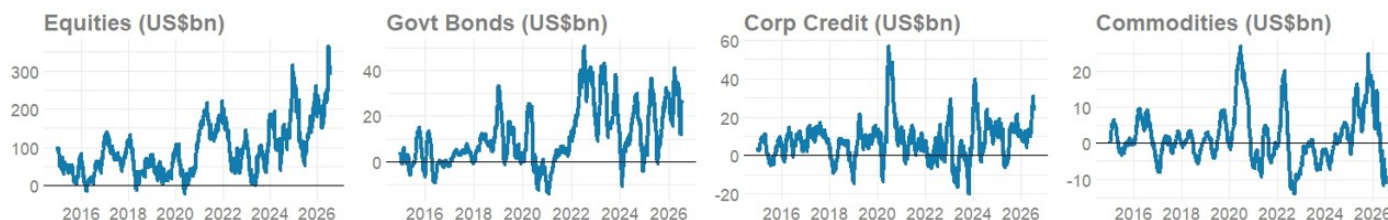
'T3M Flow' shows rolling 3M net flows over the last 12 months.

Source: Bloomberg, Morgan Stanley Research

Exhibit 11: US ETF cumulative flows year-to-date

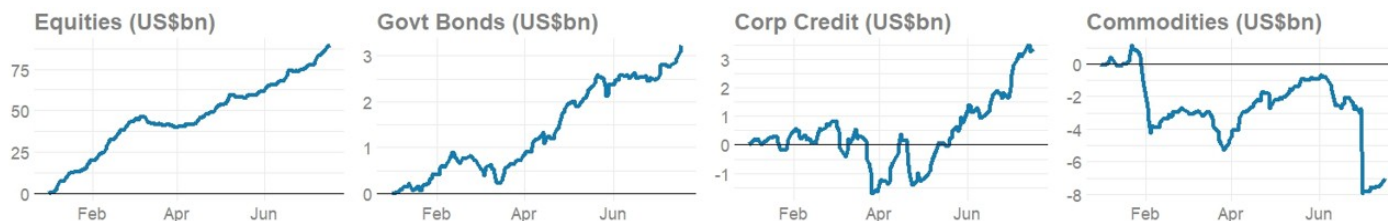
Data as of Fri 17 July 2026

Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from US ETFs to both domestic and international equities.

Exhibit 12: US ETF trailing 3M flows

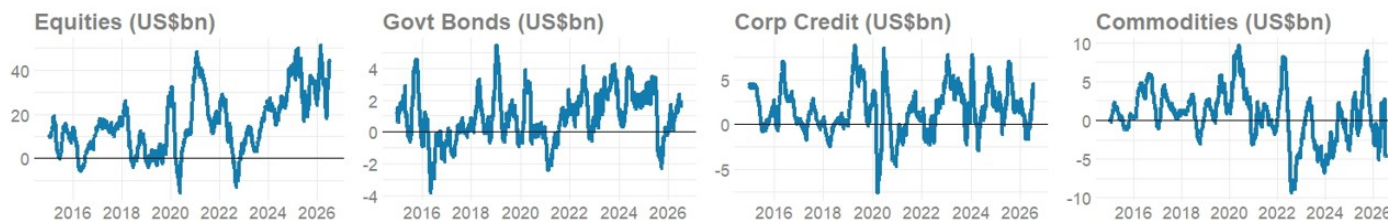
Data as of Fri 17 July 2026

Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from US ETFs to both domestic and international equities.

Exhibit 13: European ETF cumulative flows year-to-date

Data as of Fri 17 July 2026

Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from European ETFs to both domestic and international equities.

Exhibit 14: European ETF trailing 3M flows

Data as of Fri 17 July 2026

Source: Bloomberg, Morgan Stanley Research; Note: Equity flows include flows from European ETFs to both domestic and international equities.

Cross-Asset ICI Fund Flows

We track daily fund flows globally coming from ICI; this covers almost all US ETFs and mutual funds, with a caveat being that data points arrive with longer lags and less granularity.

Exhibit 15: Flows summary

Asset	AUM (\$bn)	FLOW (\$bn)					AS % OF AUM				
		1W	4W	13W	26W	52W	1W	4W	13W	26W	52W
ALL	48,755	66	134	356	708	799	0.1%	0.3%	0.9%	1.9%	2.3%
Equity	30,479	43	75	128	263	-30	0.1%	0.3%	0.5%	1.2%	-0.1%
US	23,732	43	69	115	146	-220	0.2%	0.4%	0.6%	0.8%	-1.3%
RoW	6,747	0	7	13	117	190	0.0%	0.1%	0.3%	2.5%	4.3%
Hybrid	1,899	-1	-9	-16	-35	-72	0.0%	-0.5%	-1.0%	-2.1%	-4.5%
Bond	8,189	25	72	254	484	867	0.3%	1.0%	3.7%	7.2%	13.8%
Taxable	4,817	22	63	221	420	760	0.5%	1.4%	5.1%	9.9%	18.9%
Muni	1,085	2	9	33	64	107	0.2%	1.0%	3.4%	6.9%	12.1%
Commodity	364	-1	-5	-10	-4	34	-0.2%	-2.9%	-5.7%	-2.4%	26.4%
MMFs	7,893	-60	-26	246	164	828	-0.8%	-0.4%	3.7%	2.6%	13.7%
Tax-Exempt	7,919	-2	-2	5	-4	9	0.0%	-1.9%	3.5%	-2.8%	7.6%
Govt	7,647	-53	-29	233	165	760	-0.7%	-3.0%	24.7%	17.5%	88.3%
Tsy & Repo	7,729	-4	19	128	137	322	0.0%	0.9%	6.6%	7.7%	18.9%
Tsy & Agency	7,066	-49	-48	105	28	438	-0.7%	-1.3%	2.9%	0.9%	13.6%
Prime	7,733	-5	6	8	2	58	-0.1%	0.5%	0.7%	0.2%	5.7%

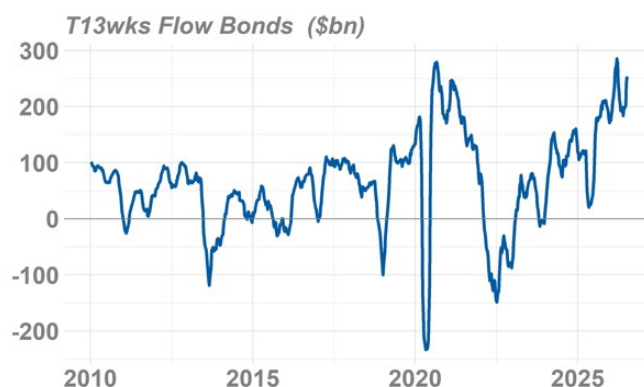
Source: ICI, Haver Analytics, Morgan Stanley Research; Note: AUM data is available monthly with a lag.

Exhibit 16: Trailing 3m equity flows



Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week

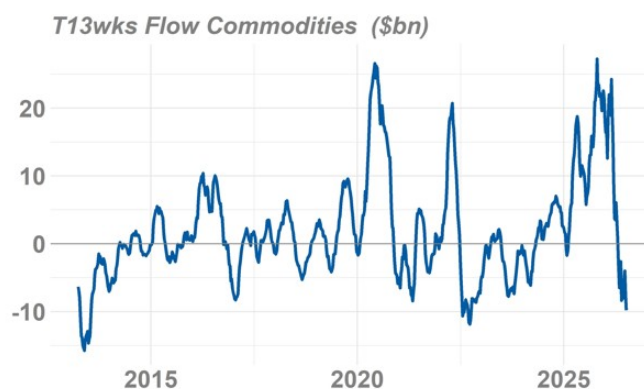
Exhibit 17: Trailing 3m bond flows



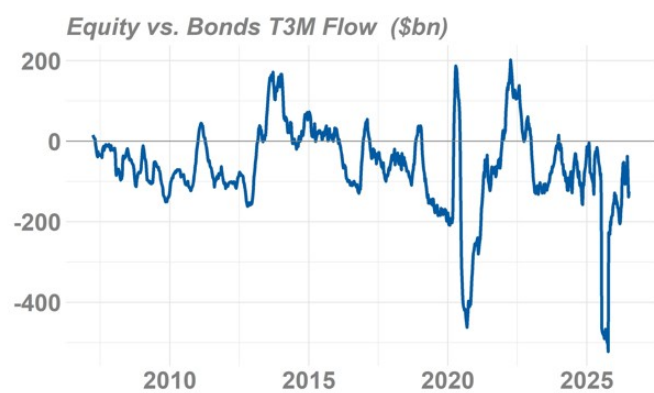
Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week

Exhibit 18: Trailing 3m IG flows

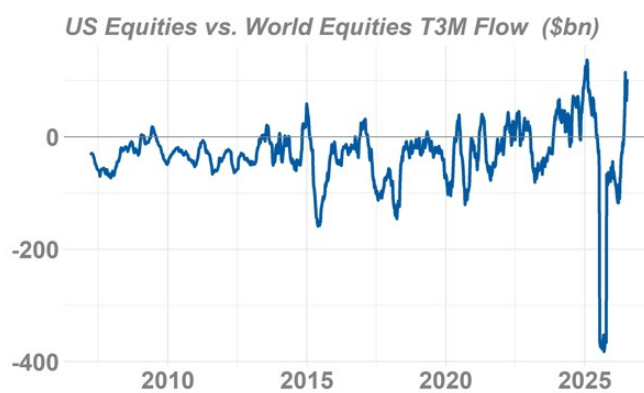
Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

Exhibit 19: Trailing 3m commodities flows

Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

Exhibit 20: Trailing 3m equity vs. bonds flows

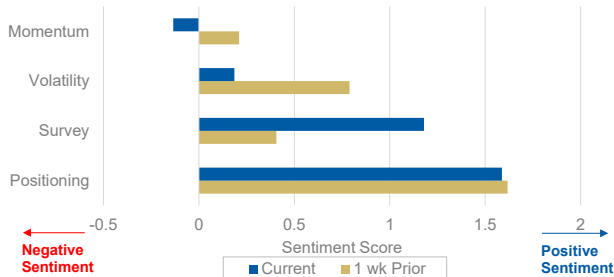
Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

Exhibit 21: Trailing 3m US equity vs. World equity flows

Source: ICI, Haver Analytics, Morgan Stanley Research. Note: Data is lagged by a week.

Market Sentiment Indicator (MSI)

Exhibit 22: Current indicator reading by group



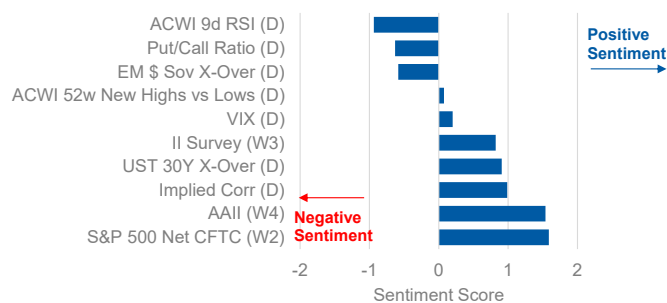
Source: Bloomberg, LSEG, CFTC, Morgan Stanley Research

Our MSI aggregates survey positioning, volatility, and momentum data to quantify market stress and sentiment. We construct risk-on/risk-off signals based on both the *level* and the *change* of our MSI. For more on the methodology, refer to [this](#). The series can be found under the usual Bloomberg tickers.

MSXAMSIL Index – Morgan Stanley Market Sentiment Indicator Level.

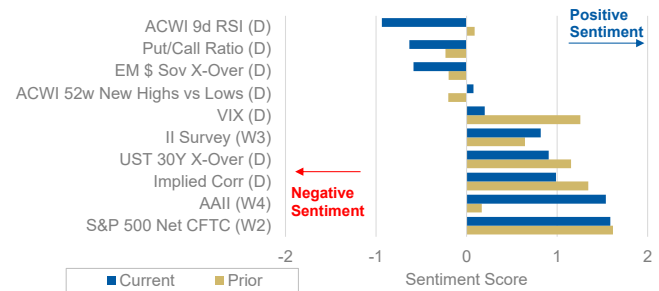
MSXAMSIS Index – Morgan Stanley Market Sentiment Indicator Signal.

Exhibit 23: Current indicator reading



Source: Bloomberg, LSEG, CFTC, Morgan Stanley Research; Note: W2 = weekly updates (every Tuesday), W3 = weekly updates (every Wednesday), W4 = weekly updates (every Thursday), D = daily updates.

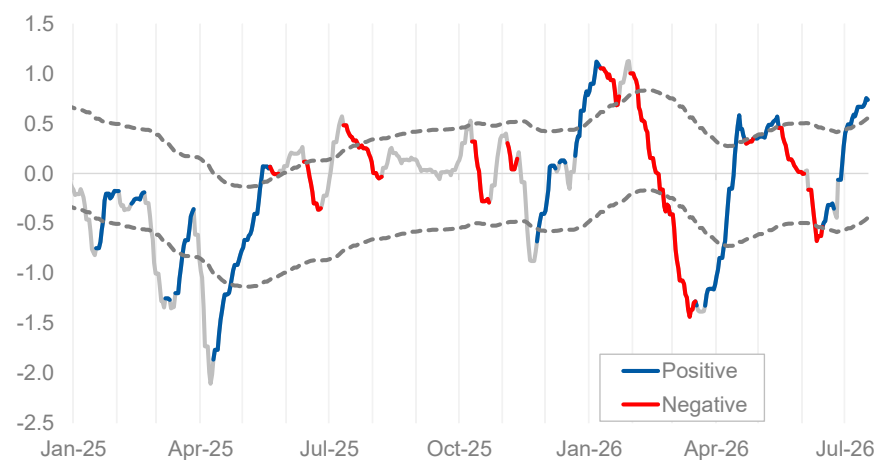
Exhibit 24: Indicator moves versus 1 week ago



Source: Bloomberg, LSEG, CFTC, Morgan Stanley Research; Note: W2 = weekly updates (every Tuesday), W3 = weekly updates (every Wednesday), W4 = weekly updates (every Thursday), D = daily updates

Exhibit 25:

Market Sentiment Indicator (MSI)



Source: Morgan Stanley Research

Cross-Asset Positioning

Exhibit 26: Net positioning summary

Market	Asset Managers	Hedge Funds	Dealers*	Others	Prod.
Equities					
US Equities	30%	-10%	-20%	-0%	
Japan Equities	31%	4%	-18%	4%	
EM Equities	46%	1%	-47%	-3%	
Bonds					
UST	25%	-18%	-12%	-0%	
UST 2Y	40%	-36%	-10%	4%	
UST 5Y	44%	-33%	-12%	0%	
UST 10Y	40%	-32%	-8%	-0%	
LT UST	45%	-37%	-9%	-0%	
Commodities					
Brent	5%		-19%	3%	13%
Gold	34%		-36%	11%	-3%
Copper	23%		4%	1%	-30%
FX					
DXY	41%	-9%	-44%	7%	
EUR	30%	-8%	-26%	1%	
GBP	-46%	10%	38%	0%	
JPY	-12%	-24%	23%	12%	
CHF	-35%	-9%	56%	-0%	
CAD	-27%	-24%	51%	3%	
AUD	-18%	10%	-1%	1%	
ZAR	41%	10%	-59%	-1%	
BRL	47%	1%	-52%	-0%	
MXN	15%	27%	-31%	-14%	

Source: CFTC, Bloomberg, Morgan Stanley Research; Note: Shading indicates net positioning as Z-score – blue background shading indicates net positioning >1.5 SD, red background shading indicates <-1.5 SD. *Dealers* refer to dealers and swap counterparty, Prod. refers to producers (commodities only), Others refer to (Corporates/Central Banks, etc.).

Exhibit 27: Extreme short 1

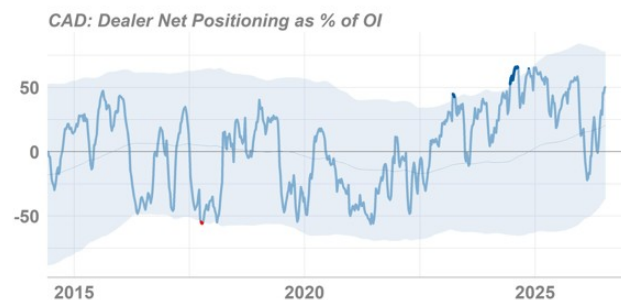
Source: Bloomberg, CFTC, Morgan Stanley Research

Exhibit 28: Extreme short 2

Source: Bloomberg, CFTC, Morgan Stanley Research

Exhibit 29: Extreme long 1

Source: Bloomberg, CFTC, Morgan Stanley Research

Exhibit 30: Extreme long 2

Source: Bloomberg, CFTC, Morgan Stanley Research

COVA: Cross-Asset Correlation-Valuation Framework

Our correlation-valuation (COVA) scorecard aims to identify good portfolio diversifiers at reasonable prices, rewarding assets that have: 1) a more negative correlation to equities, 2) a more stable correlation, 3) a more negative downside beta, 4) more attractive valuations, and 5) more attractive carry. The higher the score, the better the portfolio diversifier is. For more details on the framework, see [here](#).

Exhibit 31: Cross-asset diversifiers: Top diversifiers based on COVA

Long/Short	Asset	Corr.	Stability	Downside Beta	Correlation score	Valuation	Cost of Carry	Valuation score	Overall COVA score	Hedge Ratio (\$mn per \$1mn of equity risk)
Long	Cons Staples vs Mkt	85	99	73	83	95	95	95	88	0.9
Short	MXNUSD	84	82	75	80	94	98	96	86	3.0
Short	EM Credit XS	81	92	68	78	98	98	98	86	8.1
Short	US HY (Spread)	85	100	70	82	88	93	90	85	9.3
Short	Copper	79	78	74	77	98	89	94	84	0.7
Short	ZARUSD	83	100	69	81	84	85	85	82	1.8
Short	US IG (Spread)	75	93	59	72	93	95	94	81	19.5
Long	Healthcare vs Mkt	79	77	61	72	94	96	95	81	1.3
Long	US HY vol	85	100	57	77	97	63	80	78	4.5
Long	GBPUSD vol	71	86	53	67	99	88	93	78	3.7
Long	Utilities vs Mkt	79	74	68	74	96	60	78	76	1.4
Short	BTP Spread 10y	78	78	57	69	93	76	84	75	10.9
Long	AUDUSD vol	79	82	56	71	94	61	78	73	5.6
Long	USDMXN vol	81	77	53	69	97	58	77	72	16.1
Short	AUDUSD	85	100	69	82	98	11	55	71	2.0

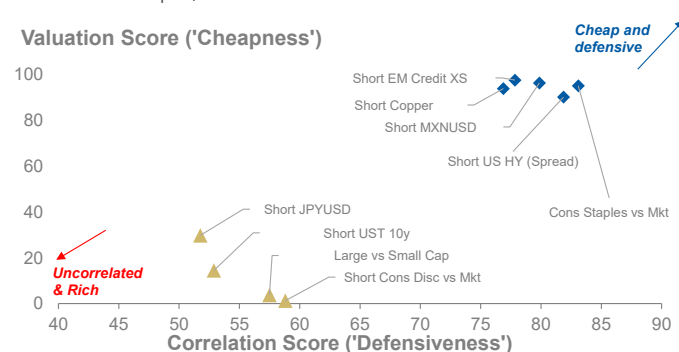
Source: Morgan Stanley Research; Note: Overall score is a weighted average of correlation score (60%) and valuation score (40%). We show "long" for assets with correlation <0% based on average of 10yr and 6m correlation to MSCI ACWI, and "short" otherwise. Scores are based on the direction of the trade. Hedge ratio is computed using the inverse of historical beta to global equities over the last year. For assets with low correlation to MSCI ACWI (<20%), we use the inverse of relative vol to global equities as its hedge ratio. Hedge ratios of long vol strategies are expressed in terms of how much an investor would need to do to get an 8% vol equivalent of risk.

Exhibit 32: Bottom 5 COVA diversifiers

Long/Short	Asset	Correlation score	Valuation score	Overall COVA score
Short	Cons Disc vs Mkt	59	1	36
Long	Large vs Small Cap	57	4	36
Short	UST 10y	53	14	38
Long	Brent	34	46	39
Short	JPYUSD	52	30	43

Source: Morgan Stanley Research

Exhibit 33: Top 5, bottom 5 valuation correlation distribution



Source: Morgan Stanley Research

Cross-Asset Monitor: Levels, Changes, and Valuations

Key highlights from last week

- The S&P 500 (-1.6%) underperformed the Russell 2000 (-0.5%). Energy (+4.4%) led gains in global equity sectors while technology (-4.8%) led losses.
- US IG spreads widened 1 bp while EUR IG spreads widened 2 bp.
- UST 2Y yields fell 3bp.
- The DXY fell 0.2%. JPY fell 0.4% against the USD.
- Brent saw a +2.8 SD move.

Exhibit 34: Cross-asset monitor: Levels, changes, valuations

EQUITIES								
Asset	Where are levels on a 1-year range?		Where are moves most extreme?				Where are valuations?	
	Latest	1Y Range	Change				Fwd P/E	
			1D	1W	1M	1Y	Val	10Y %-tile
MAJOR EQUITY MARKETS								
MSCI ACWI	1,109		-1.2%	-1.6%	-1.5%	19.5%	18.7	
S&P 500	7,458		-1.0%	-1.6%	-0.6%	18.4%	21.8	
Russell 2000	2,962		-0.4%	-0.5%	-0.6%	32.2%	36.0	
NASDAQ	28,593		-1.5%	-4.1%	-6.0%	24.0%	25.8	
Eurostoxx 50	6,231		-0.8%	-0.6%	-1.0%	16.3%	15.9	
DAX	24,831		-0.3%	-0.9%	-0.6%	2.2%	16.2	
FTSEMIB	51,882		-0.9%	-1.4%	-1.8%	28.7%	14.1	
FTSE 100	10,600		0.3%	1.0%	2.3%	17.9%	13.3	
TOPIX	3,919		-2.7%	-2.9%	-3.1%	38.3%	17.4	
MSCI China	73		-3.0%	-0.6%	-0.6%	-7.3%	11.3	
Hang Seng	24,562		-1.8%	1.6%	2.7%	-1.1%	11.1	
MSCI EM	1,621		-2.6%	-4.1%	-9.3%	29.7%	11.7	
EQUITY SECTORS (MSCI ACWI)								
Cons. Disc.	436		-1.5%	-0.6%	-0.1%	2.0%	22.3	
Cons. Staple	308		-0.2%	1.6%	3.1%	5.0%	20.6	
Comm. Serv.	162		-2.2%	-2.2%	-1.9%	14.9%	18.4	
Energy	328		1.2%	4.4%	6.4%	30.6%	11.6	
Financials	241		-0.9%	0.6%	3.9%	15.5%	13.8	
Healthcare	401		-0.3%	-0.1%	6.9%	16.5%	20.2	
Industrials	518		-0.6%	-1.5%	-2.8%	16.2%	23.7	
Materials	410		-1.2%	-1.6%	-4.9%	20.2%	14.9	
Tech.	1,173		-1.9%	-4.8%	-7.8%	35.9%	21.9	
Utilities	208		0.0%	0.1%	1.6%	12.6%	17.6	
STYLE (MSCI ACWI)								
Large/Small	104%		-0.1%	-0.0%	0.9%	-0.2%	1.1	
Value/Growth	48%		0.6%	2.2%	4.6%	3.0%	0.6	
Note:								
Data as of Friday 17 July 2026								
Source: Bloomberg, Morgan Stanley Research;								
Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.								

Exhibit 35: Cross-asset monitor: Levels, changes, valuations

CREDIT								
Asset	Sprd (bp)	1Y Range	Change				Spread (bp)	
			1D	1W	1M	1Y	Val	10Y %-tile
US CORPORATE CREDIT								
US AGG	28		1	1	2	-2	28	
US IG	77		1	1	4	0	77	
US HY	268		2	5	3	-15	268	
US IG BBB	95		2	2	4	-2	95	
US HY BB	156		1	4	5	-16	156	
CDX IG	52		1	1	2	1	52	
CDX HY	310		4	6	7	-6	310	
EUROPE CORPORATE CREDIT								
EUR AGG	44		0	1	2	-7	44	
EUR IG	78		1	2	0	-7	78	
EUR HY	261		3	0	-2	-33	261	
EUR IG BBB	89		0	1	-1	-9	89	
EUR HY BB	155		1	0	-3	-47	155	
Main	53		1	1	2	0	53	
XOver	257		6	11	7	-20	257	
EM								
EM \$ Sov	240		1	7	11	-69	240	
CDX EM	146		3	6	6	-9	146	
SECURITIZED								
US MBS	27		0	1	3	-9	27	
EUROPEAN SOV CREDIT								
France 10Y	80		1	4	4	10	393	
Italy 10Y	82		1	8	11	-4	394	
Note:								
Data as of Friday 17 July 2026								
Source: Bloomberg, Morgan Stanley Research;								
Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.								

Exhibit 36: Cross-asset monitor: Levels, changes, valuations

RATES

Asset	Yields (%)	1Y Range	Change				Real Yields (%)	
			1D	1W	1M	1Y	Val	10Y %-tile
US								
UST 2Y	4.18		4	-3	0	31	1.3	
UST 10Y	4.55		0	-1	9	13	1.8	
UST 30Y	5.07		-1	1	17	8	2.4	
UST 2Y/10Y	0.37		-4	2	9	-18	NA	
US B/E 10Y	2.25		1	-1	-2	-18	2.2	
RoW								
DBR 10Y	3.12		-1	6	14	43	0.4	
UKT 10Y	4.95		-2	8	11	28	2.4	
JGB 10Y	2.69		-2	-4	4	116	-0.1	
Note:								
Data as of Friday 17 July 2026								
Source: Bloomberg, Morgan Stanley Research;								
Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.								

Exhibit 37: Cross-asset monitor: Levels, changes, valuations

FX								
Asset	Spot	1Y Range	Change				REER	
			1D	1W	1M	1Y	Val	10Y %-tile
DM								
AUD/USD	0.6984		-0.2%	0.4%	-0.4%	7.3%	107	
EUR/USD	1.1439		-0.0%	0.2%	-0.3%	-1.6%	105	
CHF/USD	1.2387		0.2%	0.2%	-0.0%	-0.7%	101	
GBP/USD	1.3452		-0.2%	0.4%	1.7%	0.3%	115	
JPY/USD	0.0062		0.0%	-0.4%	-0.7%	-8.4%	66	
NOK/USD	0.1036		0.2%	1.4%	0.5%	5.6%	88	
NZD/USD	0.5843		0.0%	1.4%	1.8%	-2.0%	93	
EM								
CNY/USD	0.1476		-0.0%	0.0%	-0.1%	5.9%	94	
IDR/USD	0.0558		0.4%	0.8%	-0.6%	-9.1%	81	
INR/USD	0.0104		0.1%	-1.0%	-2.0%	-10.5%	87	
KRW/USD	0.0672		-0.5%	0.7%	2.9%	-6.5%	81	
MYR/USD	0.2441		-0.6%	-0.6%	1.0%	3.6%	108	
ZAR/USD	0.0605		-0.7%	-1.2%	-0.4%	7.2%	102	
BRL/USD	0.1956		-0.2%	-0.1%	0.8%	9.2%	76	
MXN/USD	0.0571		-0.6%	-0.3%	-1.0%	7.0%	143	
INDICES								
DXY	101		0.0%	-0.2%	-0.1%	2.3%	NA	
EUR TWI	112		0.1%	0.3%	0.1%	-1.2%	NA	
Note:								
Data as of Friday 17 July 2026								
Source: Bloomberg, Morgan Stanley Research;								
Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.								

Exhibit 38: Cross-asset monitor: Levels, changes, valuations

COMMODITIES								
Asset	Latest	1Y Range	Change				Latest Price	
			1D	1W	1M	1Y	Val	10Y %-tile
BCOMSP	681		1.3%	3.4%	3.2%	24.7%	705	
WTI Crude	82		4.5%	15.5%	7.7%	22.1%	87	
Brent	88		4.6%	15.9%	9.3%	26.7%	92	
Gold	4,019		0.7%	-2.3%	-5.3%	20.1%	4,560	
Silver	56		0.2%	-6.4%	-15.1%	47.1%	76	
Copper	626		-1.2%	-0.3%	-1.9%	13.7%	639	
Iron Ore	760		0.3%	1.1%	1.3%	-2.6%	794	

Note:
Data as of Friday 17 July 2026
Source: Bloomberg, Morgan Stanley Research;
Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.

Exhibit 39: Cross-asset monitor: Levels, changes, valuations

VOLATILITY								
Asset	Latest	1Y Range	Change				Level	
			1D	1W	1M	1Y	Val	10Y %-tile
VIX	18.8		2.0	3.7	2.0	2.4	18.8	
V2X	17.3		0.7	0.5	1.0	-0.4	17.3	
FX Vol	6.1		0.0	-0.1	-0.5	-2.2	6.1	

Note:
Data as of Friday 17 July 2026
Source: Bloomberg, Morgan Stanley Research;
Note: Valuation bars colors: blue = cheap, red = expensive (e.g. high fwd P/E = expensive, high credit spread = cheap). Shaded numbers are +/-2 SD moves.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Equal-weight (E or Equal) - The stock's total return is expected to be in line with the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U or Under) - The stock's total return is expected to be below the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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